

medicinal and aromatic plants as part of its sourcing strategy. It has been recognised as the Most Sustainable Company in FMCG in the Sectoral Excellence in Manufacturing category in this year's *BT* India's Most Sustainable Companies.

For Dabur, sustainability is tied to business continuity as climate volatility, pressure on natural resources and tighter sourcing norms affect companies dependent on agricultural and herbal raw materials. The maker of ayurvedic and natural products says investments in renewable energy, biodiversity-linked cultivation and water conservation are aimed as much at securing supply chains as reducing the environmental impact. Its biodiversity-linked sourcing model has become central to securing raw materials used in ayurvedic and natural products, while also addressing risks linked to climate variability and resource scarcity.

"Sustainability is something we have always lived by. Our roots in ayurveda naturally shape how we think about business," says Mohit Malhotra, Whole-Time Director and Chief Executive Officer, Dabur. "Herbs, fruits and natural ingredients aren't just raw materials, they are precious resources that need to be protected, nurtured and used responsibly." The company says it has achieved 98% sustainable sourcing of materials such as beverage cartons, paper and palm oil.

Dabur has also expanded cultivation of medicinal plants to more than 15,000 acres through contract farming and nursery networks in India and Nepal. According to the company, this has reduced dependence on wild extraction of vulnerable herbs

and improved long-term supply stability. The company's manufacturing and packaging operations have also become a key part of its sustainability initiatives. Dabur says it has remained plastic waste positive for four consecutive years and processed more than 41,000 metric tonnes of post-consumer plastic waste last year. Being plastic waste positive means an organisation recovers, recycles, or removes from the environment more plastic waste than it uses.

"The real impact in waste management comes not just from systems but collective behavioural change," says Malhotra, referring to the company's household plastic collection initiatives.

Water conservation has emerged as another major focus area. Dabur says it has helped rejuvenate more than 40 water bodies in seven states and created water replenishment capacity of over 14.53 lakh kilolitres through community-led programmes. The company says these efforts helped it emerge as a water-positive enterprise.

Its water intensity fell 33% in FY26, according to company disclosures. "What is equally important is the impact on the ground—villages getting more reliable access to water, improved groundwater levels and stronger resilience against climate variability," says Malhotra.

Dabur's next sustainability targets include achieving 60% renewable energy usage across global operations by FY30 and progressing towards net-zero emissions by 2045.

Dabur is positioning sustainability as a long-term operating strategy rather than a standalone ESG programme. **BT**

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MOHIT MALHOTRA
Whole-Time Director and
CEO, Dabur India

MOST SUSTAINABLE COMPANY IN MANUFACTURING (FMCG)

Dabur says it has eliminated coal from operations and achieved 61% renewable energy use in India ahead of schedule

The company is working with nearly 15,000 farmers to cultivate medicinal and aromatic plants as part of its ayurveda-linked sourcing strategy

Dabur has achieved 98% sustainable sourcing of high deforestation-risk materials and is targeting 100% by FY27

The FMCG major processed over 41,000 metric tonnes of post-consumer plastic waste last year and has remained plastic waste positive for four consecutive years

